CHIEF INVESTMENT OFFICE

Capital Market Outlook

May 4, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*No Two Oil Shocks Are Created Equal:* The macroeconomic impact of the Hormuz oil crisis has been blunted by "super glut" conditions coming into the war, export rerouting, strategic reserve releases, lower-value consumption cuts and—critically—U.S. energy-sector strength and economic resilience. The effective supply imbalance is closer to 10 million barrels per day (mbd) than the 20 mbd headline. Europe and parts of Asia are particularly affected due to Middle East import dependence and thin product inventories. Markets are pricing a timely normalization—supported by International Energy Agency (IEA) expectations for a two-month recovery for about 80% of supply and preexisting spare capacity—consistent with continued global expansion. The key risk remains conflict duration: A prolonged standoff would shift adjustment from less economically impactful rationing to a broader economic drag. A sensible reopening would reinforce the U.S.-led growth and corporate earnings momentum.

Market View—*The Next Frontier: China's Rise as a Pharma Superpower:* A new global pharmaceutical order is in the making, with China biotech at the heart of this shifting medical landscape. After scaling and seizing control of one sector after another over the past few decades, China is rapidly emerging as a significant power in medicine. Indeed, China is already the world's largest developer of new medicines after the U.S. That's little recognized by investors, as is the fact that China is rapidly moving up the drug value chain using the same playbook it used to become a manufacturing powerhouse: Enter at the low end, provide oodles of government subsidies, scale relentlessly, build out capacity, prioritize the development of human capital, and leverage Western technology and innovation.

China's rise as a life science giant has been underpinned by a number of factors, including regulatory reforms, state subsidies, a massive patient pool, generous spending on research & development (R&D), a centralized healthcare system and a deep bench of biological talent. U.S. biotech and pharmaceutical leaders continue to expand their ties with China biotech.

Thought of the Week—*Deal Activity Remains on Track in 2026:* Global deal activity entered 2026 with strong momentum following a robust 2025. Businesses pursuing exposure to the artificial intelligence (AI) infrastructure buildout capitalized on fiscal tailwinds, easing borrowing costs, and a solid macro backdrop. In Q1 2026, global mergers and acquisitions (M&A) deals surged to $1.2 trillion (T), the strongest start to a year since 2021. Similarly, global initial public offering (IPO) proceeds reached $30.9 billion (B) to a four-year high. Domestically, the U.S. remained a stronghold for dealmaking as it accounted for 52% of global M&A volumes and 27% of global IPO issuance in Q1, underscoring the depth and resilience of U.S. capital markets. Challenges could emerge in the near term if deal concentration begins to squeeze liquidity, geopolitical uncertainty persists, rate expectations shift, and equity market volatility picks up. For now, M&A activity remains robust, and the IPO forward calendar looks healthy, with deals expected across Consumer, Energy, Industrials and Information Technology sectors.

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The overall growth outlook remains largely unchanged for now, though a prolonged war could pressure discretionary spending through higher energy, commodity, and food prices. Despite recent volatility, U.S. Equities remain preferred given economic resilience and easing valuations. Fixed Income remains constructive but underweighted to support an Equity overweight, with neutral duration and expectations for range-bound yet potentially volatile yields amid sticky inflation, steady gross domestic product (GDP) growth, and upcoming Fed leadership changes.

Our sector positioning reflects reduced Utilities exposure after valuation-driven outperformance, continued confidence in resilient consumers, positive outlooks for Financials, and selective increases to Energy.

MACRO STRATEGY

No Two Oil Shocks Are Created Equal

Chief Investment Office, *Macro Strategy Team*

The Strait of Hormuz crisis has resulted in the largest oil trade disruption in history, affecting about 20 mbd—roughly 20% of global crude and refined product supply. Export flows effectively stopped by mid-April, particularly affecting Asia and Europe for two reasons. First, 82% of Hormuz exports typically go to Asia, covering roughly 60% of the region's imports and 45% of its demand. Second, refinery closures, low spare refining capacity, Russian import restrictions and thin jet fuel inventories left Europe exposed to jet fuel shortages. Jet fuel imports cover 30% of European demand, 75% of which are via Hormuz (about 0.375 mbd).

Several mitigating factors have narrowed the effective supply shortage to about half the headline disruption, however, helping limit its global impact. These include: (1) about 3 mbd oversupplied initial conditions;[1] (2) pipeline and port rerouting of about 5 mbd; (3) global inventories at a five year high,[2] with immediate drawdowns of commercial inventories and floating storage; (4) brief Iran and Russia sanction waivers; (5) rising refinery capacity utilization across Organisation for Economic Co-operation and Development (OECD) Americas to multidecade seasonal highs and rising U.S. refined product exports; and (6) fuel substitution. Together, these factors imply a net global supply loss closer to 10 mbd than the 20 mbd headline disruption, helping stretch inventory cover and limit global macroeconomic effects.

Difficulty in replacing Middle Eastern heavy sour crude combined with the high concentration of refining capacity in Asia and little spare capacity elsewhere has led to acute localized shortages of refining feedstock and refined products. Faced with a roughly 8 mbd shortage, thin inventories in many countries,[3] limited immediate relief and fuel affordability pressures, Asia has borne the brunt of oil demand destruction and economic stress. Consumption cuts—via work from home, less business travel, increased rail transport, higher prices, and suppression of lower-value oil use—quickly absorbed a significant part of the shock. According to IEA estimates, global consumption likely dropped by about 2.3 mbd in April year over year, mainly in Southeast Asia and the Middle East. With about eight months of Hormuz oil imports in inventories and ample refining capacity, China has been less impacted so far, and easing export restrictions starting in May will help alleviate regional supply tightness.

A 400 mb IEA-coordinated Strategic Petroleum Reserve (SPR) release—including 172 mb from the U.S. and representing about 22% of total strategic reserves held by the 32 OECD countries that are also IEA members and about 40 days of the net Hormuz-related global supply shortfall—can only help ease the global supply shortage to a limited extent. As it turns out, not all crude oil is created equal. Asian refineries are largely configured for medium/heavy sour Middle Eastern crude, which produces more jet fuel and diesel than gasoline, and are generally incompatible with light sweet crude such as U.S. oil. Even where partial substitution is possible, jet fuel and diesel yields are materially lower. Logistical constraints also add friction, with up to an estimated two month lag from a U.S. SPR release to Asian refined output, for example. All in all, reflecting the refining bottleneck, global jet fuel and diesel supply constraints have pushed up prices by much more than oil prices have increased, more consistent with $150 to $175 per barrel Brent oil.

While Europe's crude oil exposure to Hormuz trade is more modest—around 5% of total oil consumption—its jet fuel and diesel import dependence is high, as noted above. Around 63% of Europe's SPR release therefore consists of refined products. Still, its jet fuel inventories are relatively thin, not least due to relatively more expensive specialized

Portfolio Considerations

With resilient U.S. growth but risks of bigger oil disruptions should the Iran conflict persist, portfolios should stay pro quality and U.S.-centric. U.S. Equities also remain structurally advantaged by energy self-sufficiency, stronger productivity growth and a stronger AI-driven capital expenditures cycle.

1 IEA January 2026 Oil Market Report (OMR).

2 IEA March 2026 OMR.

3 Per IEA April 2026 OMR, non-OECD Asia refineries (excluding China) typically hold just 22 days of crude oil.

storage and monitoring requirements, heightening aviation industry stress and forcing precautionary consumption cuts.

Robust U.S. economic underpinnings and energy self-sufficiency have been central to global economic stability in the face of the Hormuz oil shock. The U.S. became a net crude oil exporter in April, and its net exports of refined oil products surged to 6 mbd in April, up 20% year-over-year (YoY). This, combined with declining energy intensity, a smaller gasoline share of consumer spending and One Big Beautiful Bill Act (OBBBA) tax support, has helped limit the Hormuz disruption impact both on the U.S. and global economy.

Incoming data show that domestic growth has remained supported by the AI-driven capex/industrial sector revival, better-than-expected productivity growth, sustained consumer spending and strong profits. Q1 real GDP has increased 2.0% annualized, near potential and as expected, led by surging business equipment investment (up 17% annualized). Strong gains in capital goods orders in March suggest investment growth has momentum into Q2. Most business surveys are in expansionary territory, and commercial and industrial bank lending increased strongly in March by the most in three years.

The mix of resilient growth with solid efficiency and productivity gains has kept corporate earnings and investor risk appetite on the upswing. Forward earnings expectations for 2026 and 2027 have continued to rise, and earnings growth breadth across Large-, Mid- and Small-cap Indexes has increased to levels typical of bull markets. Manufacturing upcycles also tend to benefit Emerging Markets and overseas Equities, in general, with non-U.S. markets contributing meaningfully to the current earnings upcycle.

Indeed, in light of a strong 3.9% global growth pace in Q4 2025 and positive global effects from reduced U.S. tariff rates, AI-related global spillover, OBBBA stimulus and growing defense spending around the world, the International Monetary Fund was preparing to raise its 2026 global growth forecast before the Iran conflict escalated. Instead, its base-case scenario (assuming an imminent resolution of the conflict) was modestly lowered to 3.1% mainly due to slower emerging-market growth linked to energy stress. This compares to 3.4% in 2024 to 2025 and 3.7% average growth between 2000–2019. Under an "adverse" energy scenario (oil near $100/barrel in 2026 and $75/barrel in 2027), global growth is seen slowing to 2.5% in 2026 and rebounding to a below-average 3% in 2027. A "severe" scenario ($110 oil in 2026 and $125 in 2027) would see growth getting close to 2% in 2026 and 2027 (near recessionary levels).

In sum, the Hormuz crisis is a severe but regionally concentrated energy shock. Preexisting global oversupply, inventory buffers, supply rerouting, demand adjustment, and U.S. economic and energy resilience have helped prevent a major global economic impact to date. The IEA estimates that roughly 80% of stranded capacity could be restored within two months after the reopening of Hormuz navigation. Moreover, according to the IEA, about 171 mb were stored in tankers in the Gulf and another 262 mb in onshore storage as of mid April[4] (about 40 days of current global shortfall), an important bridge to eventual export normalization. Roughly 5 mbd of spare capacity going into the Iran war, largely in Saudi Arabia, is also expected to support export recovery once the conflict resolves. Clearly, the longer the disruption persists, the greater the risk of derailment. For now, however, financial markets continue to price in a timely oil-flow normalization and continued economic expansion.

[4] IEA April 14, OMR.

MARKET VIEW

The Next Frontier: China's Rise as a Pharma Superpower

Joseph Quinlan, *Managing Director and Head of Market Strategy*

"China's rise as a major center of drug development represents one of the most consequential shifts in the global life sciences landscape in a generation."
Food and Drug Administration Regulator Richard Pazdur[5]

And now medicine.

After scaling and seizing control of one sector after another over the past few decades, China is rapidly emerging as a significant power in medicine. Indeed, China is already the world's largest developer of new medicines after the U.S. That's little recognized by investors, as is the fact that China is rapidly moving up the drug value chain using the same playbook it used to become a manufacturing powerhouse: Enter at the low end, provide oodles of government subsidies, scale relentlessly, build out capacity, prioritize the development of human capital, and leverage Western technology and innovation.

The upshot: China's stunning shift from bicycles to biotech—and the making of a drug superpower. Yes, China still suffers from a decades-long reputation that the quality and safety of their drugs are lower than America's. But times are changing.

Consider the following:

- China accounted for 40% of global early-stage drug testing in Q3 2025, versus 35% in the U.S. according to *The Journal of the American Medical Association*. That's up from just an 8% share a decade ago.
- Roughly one-in-four generic drugs taken by Americans rely on ingredients from China.[6]
- China supplies roughly one-third of the world's active pharmaceutical ingredients.[7]
- Of the roughly 160 new obesity drugs in development around the world, one-third of them are from China, according to Bloomberg Intelligence.
- Overseas partners signed a record 157 Chinese agreements ($136B) in 2025.[8]
- Chinese drug leaders are now responsible for about 70% of the world's antibody-drug conjugates (ADC), according to Goldman Sachs.
- Chinese firms now account for roughly 24% of all first-in-class drug candidates in global development.[9]

Summarizing the above: The world of "Big Pharma" no longer rests on the shoulders of U.S. and European firms. That's the past. The present and future are evident in Exhibit 1A. In just the past decade, China's role (and share) in global early-stage drug development has soared across various drug modalities and therapeutic areas, whether biologics, oncology or metabolic diseases. As the *Journal of American Medical Association* recently noted, "Global early-stage drug development has nearly doubled over the past decade, shifting from a system dominated by the U.S. toward a 2-hub structure centered on the U.S. and China."[10]

China's rise as a life science giant has been underpinned by a number of factors, including regulatory reforms, state subsidies, a massive patient pool, generous spending on R&D, a centralized healthcare system and a deep bench of biological talent. Per the latter, China graduates five times the number of medical and biomedical students as

Investment Implications

Global life sciences offer attractive potential for investors, including China biotech leaders.

[5] "China's Rise Threatens the Drug World's Status Quo." Axios, March 27, 2026.
[6] "China's Grip on American Medicine Cabinets Grows More Entrenched," Bloomberg November 18, 2025.
[7] "As China biotech firms shift gears, can AI floor the Accelerator?," South China Morning Post, April 18, 2026.
[8] Ibid.
[9] Ibid.
[10] "Geographic Shifts in Early-stage Biopharmaceutical Innovation, JAMA. March 2026.

the U.S. year; in addition, given tighter U.S. immigration policies, some of China's best and brightest medical talent in the U.S. is heading home—or back to China.

China biotech excels at speed, scale and low cost. To wit, clinical trials are two to three times faster in China than the U.S. and less expensive. As noted by *The Economist*, "China's firms can take a drug from discovery to the start of human trials in about half the global industry's average time. A vast patient pool makes enrollment easier, and a large network of trial centers also speed things along."[11]

Against this backdrop, it is hardly surprising that new China-made medicines are attracting the capital and attention of U.S. pharmaceutical and biotech firms. As Exhibit 1B shows, out-licensing deals have soared over the past decade, totaling a record 157 last year, up from 94 deals in 2024 and just five a decade ago. (As a footnote: Out-licensing agreements typically involve a company in China granting another firm (e.g., a large U.S. pharmaceutical firm) the exclusive rights to further develop, manufacture and commercialize a drug once it has entered human trials).

Reflecting the depth of U.S.-Sino drug ties, according to a recent survey by the Biotechnology Innovation Organization, a U.S. industry trade group, some 79% of 124 bio-pharmaceutical U.S. companies have China-based development and manufacturing partners. Historically, these ties reflected China's role as the world's top supplier of low-cost generics and active pharmaceutical ingredients (APIs) used in everything from antibiotics to cancer drugs. This model was commodity-like—high volume, low margins, imitation rather than innovation, and little differentiation.

But it's different today. Boosted by various indigenous factors and expanding western ties, China is moving up the drug value chain. Investors need to sharpen their lens when it comes to China biotech. They need to recognize the patterns of the past, whereby China enters a sector at the low end but then hyper-accelerates towards the more competitive and profitable high-end value creation. Think steel, shipbuilding, renewable energy, electric vehicles—and now, biotech. We've seen this movie before.

But how it all plays out remains to be seen. Many questions remain: Will low-cost Chinese drugs undercut the margins of U.S. pharmaceutical leaders? Will expanding biotech ties between the U.S. and China fall victim to rising geopolitical tensions? Can China continue to close the biotech innovation gap with the U.S.?

Time will tell. Suffice it to say that a new global pharmaceutical order is in the making. We are positive on the China biotech sector and will continue to explore investment solutions for investors.

Exhibit 1: China's Rise in Global Drug Development and Out-Licensing Transactions.

A) Share of Global Drug Development Programs.

	2015		2024	
	U.S.	China	U.S.	China
Biologics	45.7%	8.7%	35.7%	35.1%
Small Molecules	49.9%	7.5%	39.4%	29.1%
Cancer	48.7%	10.2%	36.5%	37.4%
Infectious diseases	51.2%	9.0%	37.1%	25.8%
Neurology/psychiatric conditions	51.8%	5.1%	42.0%	18.8%
Other*	47.0%	6.4%	38.2%	26.7%

B) Number of China Innovative drug out-licensing transactions.

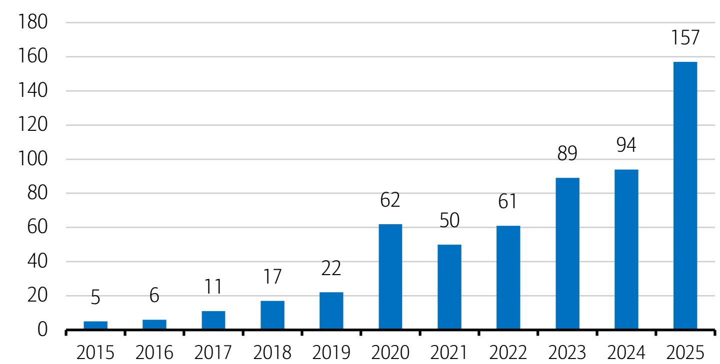


Exhibit 1A) *Other includes immune, endocrine/metabolic, gastrointestinal, cardiovascular, dermatologic, hematologic, ocular, and other miscellaneous disease areas. Source: The Journal of the American Medical Association. Data as of March 26, 2026. Exhibit 1B) Source: Pharmacube, CLSA. Data as of April 28, 2026.

[11] "Chinese Pharma's Glow-Up", The Economist, November 29, 2025.

THOUGHT OF THE WEEK

Deal Activity Remains on Track in 2026

Jordy Fuentes, Wealth Management Analyst

Global deal activity entered 2026 with strong momentum following a robust 2025. Businesses pursuing exposure to the AI infrastructure buildout capitalized on fiscal tailwinds, easing borrowing costs and a solid macro backdrop. This positive foundation underpins our outlook for continued strength, with M&A and IPO activity well-positioned to advance further in 2026.

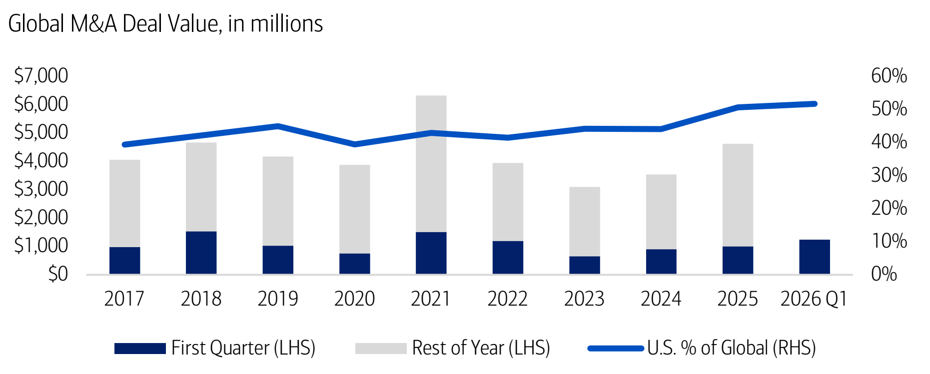
In Q1 2026, global M&A deals surged to $1.2T, the strongest start to a year since 2021 and the third consecutive quarter surpassing $1T (Exhibit 2). Similarly, global IPO proceeds reached $30.9B to a four-year high.[12] The resurgence in activity reflects accelerating AI adoption and resilient economic fundamentals, with ongoing capital investment and healthy consumer spending supporting corporate confidence. Domestically, the U.S. remained a stronghold for dealmaking as it accounted for 52% of global M&A volumes and 27% of global IPO issuance in Q1, underscoring the depth and resilience of U.S. capital markets. Notably, M&A deals valued at over $10B increased 47% YoY, marking the strongest quarter in LSEG's data, compared to a 3% rise for deals valued below $500 million.[13] While this divergence suggests deal activity remains top-heavy, it also signals balance sheet strength and flexibility among the largest corporations to execute deals in turbulent environments.

Geopolitical instability to start 2026 has shifted the landscape, with some larger deals executed earlier than planned and others delayed amid concerns over a prolonged conflict in the Middle East. Stagflation worries have resurfaced as a result, which could temper deal activity. In our view, however, market indicators currently offer limited evidence that stagflation poses a sustained, long-term risk ahead.

Reminiscent of April 2, 2025 Liberation Day, we expect deal activity to hold steady and pick up in the back half of the year, where conditions should stabilize and potential interest rate cuts could materialize. That said, near-term challenges could emerge if deal concentration begins to squeeze liquidity, geopolitical uncertainty persists, rate expectations shift, and equity market volatility picks up.

For now, M&A activity remains robust, and the IPO forward calendar looks healthy. Deals are expected across Consumer, Energy, Industrials and Information Technology sectors.[14] Corporations may take a more cautious approach in today's climate, but estimates point to continued strength throughout 2026 as they work to scale and enhance business models.

Exhibit 2: Strongest Opening for Global M&A Deals since 2021.



Source: LSEG Data & Analytics. Data through March 31, 2026. As of April 27, 2026.

[12] LSEG Data & Analytics, Data as of April 27, 2026.

[13] Source: LSEG Data & Analytics. Data through March 31, 2026. As of April 27, 2026.

[14] PitchBook. Data as of April 14, 2026.

Investment Implications

The recent strength in deal activity is driven by corporations with disciplined balance sheets and a resilient economy. U.S. based businesses with stronger fundamentals and diversified business models should continue to support activity levels, one of the reasons why we favor the U.S. relative to the rest of the world.

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,499.27	0.5	-0.3	3.5
NASDAQ	25,114.44	1.1	0.9	8.2
S&P 500	7,230.12	0.9	0.3	6.0
S&P 400 Mid Cap	3,639.84	0.0	0.0	10.6
Russell 2000	2,812.82	0.9	0.5	13.7
MSCI World	4,674.25	0.9	0.3	6.0
MSCI EAFE	3,048.80	1.0	0.3	6.5
MSCI Emerging Markets	1,601.42	-0.5	0.1	14.6

Fixed Income†

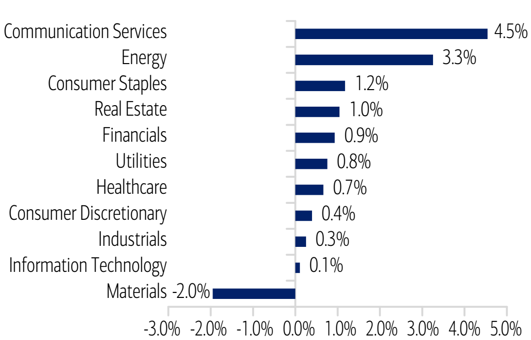
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.53	-0.40	0.10	0.02
Agencies	4.25	-0.23	0.02	0.40
Municipals	3.68	-0.33	0.01	0.98
U.S. Investment-Grade Credit	4.61	-0.39	0.11	0.18
International	5.13	-0.45	0.15	0.06
High Yield	6.94	0.05	0.14	1.33
90 Day Yield	3.65	3.67	3.66	3.63
2 Year Yield	3.88	3.78	3.87	3.47
10 Year Yield	4.37	4.30	4.37	4.17
30 Year Yield	4.96	4.91	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	357.46	3.1	-0.2	29.4
WTI Crude $/Barrel††	101.94	8.0	-3.0	77.5
Gold Spot $/Ounce††	4614.21	-2.0	-0.1	6.8

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	357.46	3.1	-0.2	29.4
USD/JPY	101.94	8.0	-3.0	77.5
USD/CNH	4614.21	-2.0	-0.1	6.8

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 04/24/2026 to 05/01/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 05/01/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 4/24/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.0	2.5	1.9	1.9	2.2	2.2
CPI inflation (% y/y)	2.7	4.4	4.0	3.8	3.7	2.3
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.6
Unemployment rate (%)	4.3	4.5	4.5	4.4	4.4	4.3
Fed funds rate, end period (%)	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of May 1, 2026.
Sources: BofA Global Research; GWIM ISC as of May 1, 2026.

Asset Class Weightings (as of 4/7/2026)

Asset Class	Underweight		CIO View Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Growth				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral		Overweight
Financials				●	◀
Consumer Discretionary				●	
Industrials				●	
Utilities			●	◀	
Energy	▶		●		
Information Technology			●		
Healthcare			●		
Materials			●		
Real Estate		●			
Consumer Staples		●			
Communication Services		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of April 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500/S&P 500 Price Return Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

U.S. Economic Policy Uncertainty Index is an index constructed based on newspaper articles regarding policy uncertainty from leading newspapers.

Caldara-Iacoviello Geopolitical Risk Index measures adverse geopolitical events and associated risks based on a tally of newspaper articles covering geopolitical tensions, and examine its evolution and economic effects since 1900.

NASDAQ Composite Index is a stock market index that tracks over 3,000 companies listed on the Nasdaq stock exchange. It is heavily weighted toward technology, biotechnology, and growth-oriented companies.

Chicago Board Options Exchange's Volatility Index is a leading measure of market expectations of near-term volatility conveyed by S&P 500 Index®(SPX) option prices.

Russell 2000 Index is a premier stock market benchmark that tracks the performance of approximately 2,000 small-cap U.S. companies.

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Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private-credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity and your tolerance for risk.

Nonfinancial assets, such as closely-held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

April 27, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Four Factors that Make the U.S. Economy the Heavyweight of the World:* In a world rife with tumult and uncertainty, no economy takes the blows and punches better than the U.S. Through a global pandemic, wars in Europe and the Middle East, inflation shocks, political uncertainty, trade conflicts, supply chain disruptions, one economy has repeatedly demonstrated an unusual ability to take the hits and keep standing, the United States.

The U.S. has added $9.2 trillion to its nominal gross domestic product (GDP) since the start of 2020, well ahead of China ($5 trillion), European Union (EU) ($5.4 trillion) and other nations like Germany ($1.1 trillion), Japan (-$0.8 trillion) and India ($1.1 trillion). Nominal U.S. output totaled nearly $31 trillion in 2025, or 26% of global output. Amid the tumult of this decade, America's weight in the global economy has gone up, not down. Correspondingly, the S&P 500 Index has produced total returns of 140% since the start of this decade, or 14.9% on a compound annualized basis. Productivity, diversification, wealth and America's entrepreneurial DNA makes the U.S. economy the heavyweight of the world.

Market View—*Equities Unfazed by Uncertainty:* By some measures, today's investment backdrop ranks among the most uncertain in modern history. And yet, the S&P 500 recently rebounded from the brink of correction territory in just 11 days, erasing a 9% drawdown and reaching a new all-time high above the elusive 7,000 level. With geopolitical tensions unresolved and headline risks simmering, it's reasonable to ask why equity markets have resumed their grind higher. There are a few factors that help to explain this counterintuitive dynamic. Elevated levels of uncertainty often coincide with more cautious investor positioning, higher cash balances, and lower levels of sentiment, all of which can leave stocks under-owned and more responsive to incremental positive news. The resilience also reflects the strength of underlying fundamentals, as earnings and economic data remain broadly positive. Adding it all up, recent market activity suggests that uncertainty alone is not sufficient to derail the secular bull market.

Thought of the Week—*Small but Mighty: Why Small-Caps are Leading the Charge:* Small-cap Equities have emerged as one of the market's standout performers this year, with the Russell 2000 Index materially outperforming Large-caps amid strong momentum and improving market breadth. Following a brief correction in March, Small-caps rebounded sharply to new highs and should be on pace for its strongest monthly advance since late-2023. A combination of easing energy prices and a domestic revenue tilt has enhanced the macro backdrop for smaller companies. Notably, attractive valuations and signs of a rotation away from mega-cap technology suggest the recent Small-cap leadership may be more durable than a short-term rally.

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Portfolio Considerations

The overall growth outlook remains largely unchanged for now, though a prolonged war could pressure discretionary spending through higher energy, commodity, and food prices. Despite recent volatility, U.S. Equities remain preferred given economic resilience and easing valuations. Fixed Income remains constructive but underweighted to support an Equity overweight, with neutral duration and expectations for range-bound yet potentially volatile yields amid sticky inflation, steady GDP growth, and upcoming Fed leadership changes.

Our sector positioning reflects reduced Utilities exposure after valuation-driven outperformance, continued confidence in resilient consumers, positive outlooks for Financials, and selective increases to Energy.

MACRO STRATEGY

Four Factors that Make the U.S. Economy the Heavyweight of the World

Joseph Quinlan, Managing Director and Head of Market Strategy

It absorbs punches. It deflects jabs. It bends but rarely buckles. It takes blows that would deck others. And when it takes a swing, it's usually a knock-out punch.

We are talking about the U.S. economy—a heavyweight fighter in a world that keeps throwing punches, jabs and roundhouses. Consider this decade alone: Through a global pandemic, wars in Europe and the Middle East, inflation shocks, political uncertainty, trade conflicts, supply chain disruptions, one economy has repeatedly demonstrated an unusual ability to take the hits and keep standing, the United States.

The U.S. has added $9.2 trillion to its nominal GDP since the start of 2020, well ahead of China ($5 trillion), EU ($5.4 trillion) and other nations like Germany ($1.1 trillion), Japan (-$0.8 trillion) and India ($1.1 trillion). Nominal U.S. output totaled nearly $31 trillion in 2025, a figure that equates to a global share of total output of 26%, up from 24.3% in 2019. In other words, amid the tumult of this decade, America's weight in the global economy has gone up, not down. Correspondingly, the S&P 500 has produced total returns of 140% since the start of this decade, or 14.9% on a compound annual basis.[1]

The first factor: The Making of a Heavyweight: productivity, diversification, wealth, and entrepreneurial DNA. America's ability to roll with the punches reflects its unique underlying strengths, one of which is the simple fact that American workers, in general, are more productive than their global peers. According to figures from the Organisation for Economic Co-operation and Development (OECD), the average American worker generates roughly $170,000 in economic output per annum, compared with $120,000 in the euro area, $118,000 in the UK and $96,000 in Japan.

American workers (and companies) are more productive because they have more tools at their disposal—think more capital, more cutting-edge technology, more research & development funding, more labor market flexibility, and more abundant and cheaper energy. By leveraging all of these factors, the U.S. economy, with just 4.7% of the world's labor force, produces more than one-quarter of global GDP. It is remarkable how much more productive the U.S. economy is relative to China and India (Exhibit 1A). With a combined labor force of 1.4 billion workers, or nearly 40% of the total, India's and China's aggregated GDP ($23.5 trillion) in 2025 was nearly one-quarter less than America's total output ($30.8 trillion).[2] The bottom line: The U.S. economy remains among the most productive in the world.

A second factor of strength: The U.S. economy is among the most diversified economies in the world—a competitive advantage that allows the economy to absorb and adapt to various shocks. Widely underappreciated by investors, the U.S. economy does many things very well. The U.S. is not just a superpower in such critical sectors as technology, finance and energy, but also a global juggernaut in aerospace and defense, capital goods, agriculture, entertainment and transportation. Whether goods or services—it doesn't matter—the U.S. typically leads.

And then there is the U.S. healthcare industry, which on a stand-alone basis, ranks as the third-largest economy in the world (Exhibit 1B). The key takeaway is that the U.S. economy is the furthest thing from being a one-trick pony. Multiple engines fire the economy, providing more ballast and support in a shock-prone world.

A third factor of U.S. economic strength lies with the fact that the U.S. remains extraordinarily wealthy (Exhibit 1C). Based on the latest figures from the International Monetary Fund (IMF), the U.S.' per capita income ($90.000) is roughly 50% higher than Germany's and light years ahead of China ($14,000) and India ($2,700). Yes, the latter have massive populations, but their labor force remains generally unproductive and therefore poor, unable to generate the consumer demand on the scale of the U.S.

Investment Implications

No economy has absorbed shocks better than the U.S., making U.S. securities among the most attractive in the world.

[1] Figures in this paragraph from the IMF.

[2] Ibid.

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And speaking of scale, the U.S. consumer generates over 30% of global consumption according to the IMF.

In the end, America's wealth acts as a shock absorber to unexpected downturns or one-off events; it gives the economy the wherewithal to adjust and reset during difficult times versus the immediate constraints to growth in poorer nations.

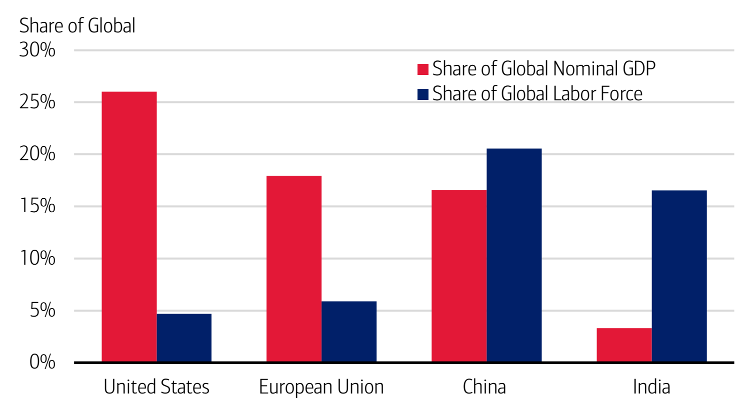
And the fourth factor: America's unique entrepreneurial ecosystem that encourages and enables the incessant churn of creative destruction between startups and incumbents. America's economic metabolism is different from the rest of the world. Risk-taking pulsates throughout our economy. No country creates and destroys as manically as America. Our strength lies in starting businesses and letting them fail. Our social and political tolerance for letting companies go under is one of America's greatest assets. It's okay to fail in America.

To this point, just since 2000, more than half (52%) of the companies on the Fortune 500 list have gone bankrupt, been acquired or ceased to exist. Take note of Exhibit 1D, which contrasts the top 10 largest U.S. publicly traded companies at the start of this century with today. Of the top firms by market cap, only two companies—Microsoft and Walmart—remain on the list today; the fate of the others has ebbed and flowed with the ever-shifting competitive landscape of the economy.

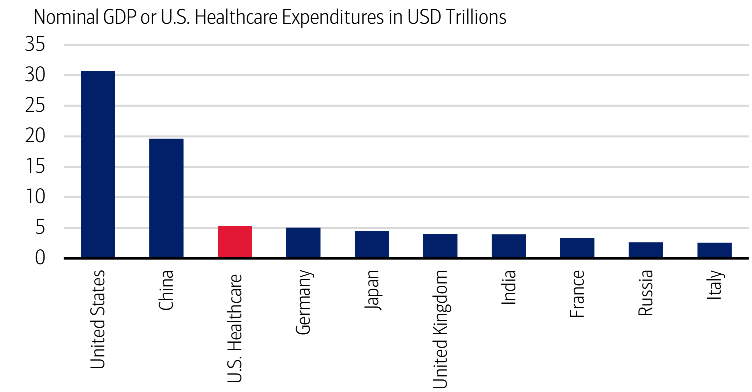
America's entrepreneurial DNA empowers startups, enables innovation, fosters competition, creates opportunities and challenges incumbents. It's our secret sauce that encourages more productivity, a more diversified economy, and more wealth-creation. The bottom line: In a world rife with tumult and uncertainty, it is imperative that investors understand that no economy takes the blows and punches better than the U.S., creating, in our opinion, favorable long-term investment opportunities.

Exhibit 1: The U.S. Economy's Four Pillars of Strength.

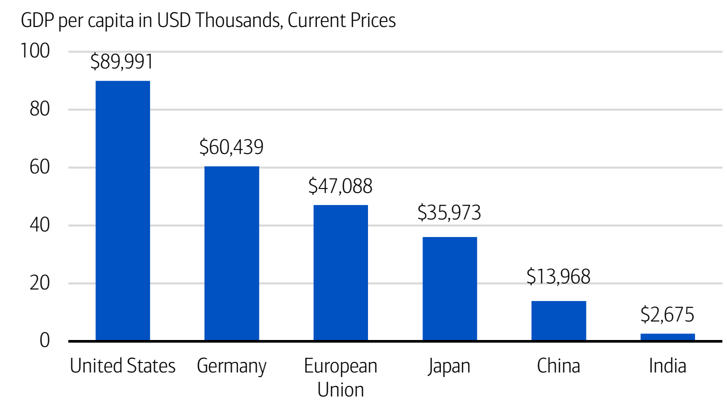
A) America is the Most Productive Economy in the World.



B) Sector Heavyweight: U.S. Healthcare Industry is the Third Largest Economy.



C) America is Extraordinarily Wealthy.



D) Here Today, Gone Tomorrow.

Top 10 U.S. Companies by Market Cap

	2000		2026	
	Company	Market Cap ($B)	Company	Market Cap ($B)
1	Microsoft	601	NVIDIA	4,901
2	General Electric	507	Alphabet	4,120
3	Cisco Systems	355	Apple	3,967
4	Walmart	308	Microsoft	3,139
5	Intel	275	Amazon	2,694
6	Pfizer	205	Broadcom	1,925
7	Exxon Mobil	196	Meta	1,748
8	IBM	192	Tesla	1,503
9	Citigroup	187	Bershire Hathaway	1,023
10	Time Warner	168	Walmart	1,016

Exhibit 1A) Sources: International Labor Organization; World Bank; IMF. Data refers to 2025, as of April 14, 2026. Exhibit 1B) Sources: IMF; Centers for Medicare & Medicaid Services. U.S. healthcare estimate refers to 2024; GDP numbers refer to 2025. Data as of April 14, 2026. Exhibit 1C) Source: IMF. Data refers to 2025, as of April 14, 2026. Exhibit 1D) Source: Bloomberg. 2000 data as of January 1, 2000. 2026 data as of April 17, 2026.

MARKET VIEW

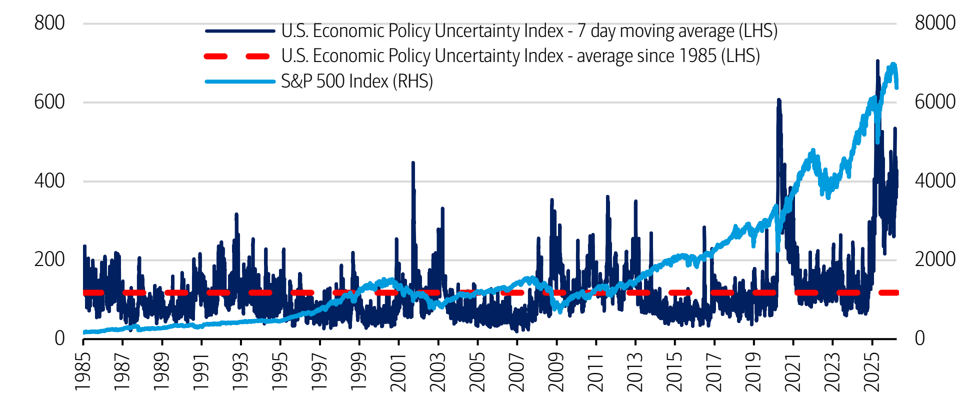
Equities Unfazed by Uncertainty

Emily Avioli, *Vice President and Investment Strategist*

Uncertainty is a defining feature of today's investment landscape: Geopolitical risk looms large, oil prices remain volatile, midterm elections are quickly approaching, the outlook for Federal Reserve (Fed) policy is increasingly murky, and questions about the disruptive power of artificial intelligence (AI) continue to evolve.

By some measures, today's backdrop ranks among the most uncertain in modern history. So far in 2026, the U.S. Economic Policy Uncertainty Index has been above 300—2.5 times its historical average—approximately 66% of the time.[3] For perspective, the index has breached this threshold only about 4% of the time since 1985 (Exhibit 2). The Caldara-Iacoviello Geopolitical Risk Index, a measure of adverse geopolitical events, surged well above its historic average in Q1.[4] Additionally, the Council on Foreign Relations reports that the number of global armed conflicts is currently the highest since the end of World War II.[5]

Exhibit 2: U.S. Economic Policy Uncertainty Is Elevated….



Sources: Bloomberg: Baker, S. R., Bloom, N., & Davis, S. J. Economic Policy Uncertainty Research. Data as of March 31, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

And yet, against this backdrop, Equities have shown remarkable resilience. The S&P 500 recently rebounded from the brink of correction territory in just 11 days, erasing a 9% drawdown and reaching a new all-time high above the elusive 7,000 level. Over the same period, the technology-heavy NASDAQ Composite Index rose by a staggering 15.5%. It was the best 11-day stretch for both indexes since March 2022. Meanwhile, the Chicago Board Options Exchange's (CBOE) Volatility Index (VIX)—often referred to as the market's "fear gauge"—swiftly retreated from a late-March peak of 31.1 to below the 20.0 level, near where it stood prior to the escalation in Iran.[6]

With geopolitical tensions unresolved and headline risks simmering, it's reasonable to ask why Equity markets have resumed their grind higher. The answer is nuanced. First, it's important to note that this pattern is not without precedent—periods of elevated uncertainty have tended to coincide with strong forward equity returns throughout history. Since 1985, when the seven-day moving average of the U.S. Economic Policy Uncertainty Index exceeded 300, the S&P 500 has delivered average price returns of roughly 15% over the subsequent six months and 29% over the subsequent 12 months—well above returns observed following periods of lower uncertainty (Exhibit 3).

There are a few factors that help to explain this counterintuitive dynamic. Elevated levels of uncertainty often coincide with more cautious investor positioning, higher cash

Investment Implications

The fog of uncertainty is likely to continue to cloud the investment outlook moving forward. Long-term investors should continue to focus on fundamentals and maintain the highest level of diversification in portfolios.

[3] Bloomberg, Baker, S. R., Bloom, N., and Davis, S. J., U.S. Economic Policy Uncertainty Index. Refers to average since 1985. Data as of March 31, 2026.

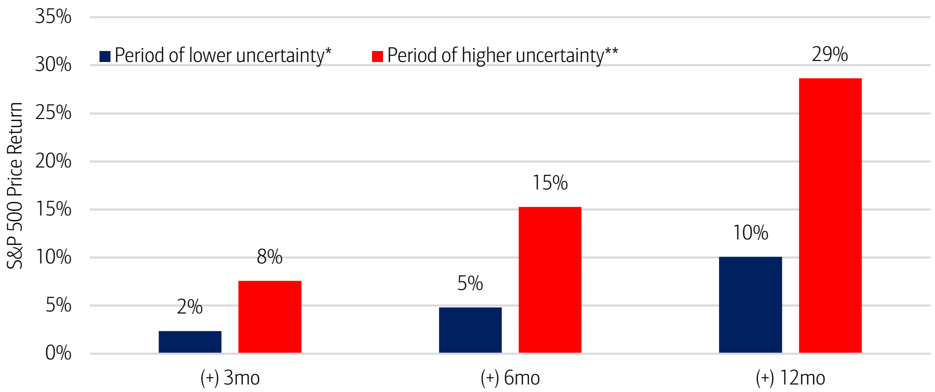
[4] Bloomberg, Caldara, D. and Iacoviello, M., Geopolitical Risk Index. Monthly data as of March 31, 2026.

[5] Council on Foreign Relations. December 18, 2025. Latest data available.

[6] Bloomberg. Data as of April 22, 2026. Price returns referenced.

balances, and lower levels of sentiment, all of which can leave stocks underowned and more responsive to incremental positive news. Some of those contrarian indicators became more prevalent in the weeks before the recent equity rally, aiding in the clawback.

Exhibit 3: …Which Historically, Has Not Been Bad For Equities.



*Seven-day moving average of the U.S. Economic Policy Uncertainty Index <=300. **7-day moving average of the U.S. Economic Policy Uncertainty Index >300.Sources: Bloomberg: Baker, S. R., Bloom, N., & Davis, S. J. Economic Policy Uncertainty Research. Data as of March 31, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

As of early April, the BofA Global Research Fund Manager Survey showed that fund manager cash levels were at the highest level since May 2025, and sentiment was at the most bearish level since June 2025. The rally also came on the heels of a meaningful valuation compression, with the S&P 500 forward price-to-earnings ratio briefly dipping below 20.0x in late March,[7] potentially representing an attractive entry point for those looking to deploy excess dry powder.

At the same time, today's equity market resilience reflects the strength of underlying fundamentals. Even amid unrelenting uncertainty and persistent headline risk, the "hard" earnings and economic data remain broadly positive. The start of earnings season has been encouraging, with the S&P 500 on track for a sixth consecutive quarter of double-digit year-over-year (YoY) earnings-per-share (EPS) growth and approximately 18.5% YoY EPS expansion for the full year 2026.[8] Margins remain healthy, and earnings strength is expected to broaden across sectors. Importantly, forward guidance has been relatively unscathed by the recent conflict thus far. Earnings estimates for the S&P 500 have actually been revised higher since March 31, according to FactSet.

The macroeconomic backdrop remains supportive as well. Weekly initial jobless claims continue to hover around 200,000, near multiyear lows. The U.S. economy added an above-estimated 178,000 jobs in March, while the unemployment rate ticked down to 4.3%. Consumer spending remains bifurcated but is resilient overall, with Bank of America Institute data showing that total debit and credit card spending excluding gasoline saw healthy growth of 3.6% YoY in March.[9] U.S. retail sales tell a similar story—the overall value of purchases rose by 1.7% month-over-month (MoM) in March—the biggest monthly increase in a year—underscoring that consumers still have the wherewithal to spend. U.S. GDP estimates have been modestly reduced since the Middle East conflict began in late March, but the Atlanta Fed GDPNow tracker is still calling for growth of 1.2% in Q1.

Risks have notably increased in recent weeks, and the outlook will likely be clouded by unknowns for some time. Even so, recent market activity suggests that that uncertainty alone is not sufficient to derail the secular bull market. In a world where uncertainty has become the new normal, staying anchored to fundamentals may be a sound strategy for long-term investors.

[7] Bloomberg. Data as of April 22, 2026.

[8] FactSet. Data as of April 22, 2026.

[9] Bank of America Institute. April 10, 2026.

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THOUGHT OF THE WEEK

Small but Mighty: Why Small-Caps are Leading the Charge

Theadora Lamprecht, *Assistant Vice President and Investment Strategist*

Small-cap Equities have emerged as one of the market's standout performers this year. The Russell 2000 has gained 12% this year, materially outperforming the S&P 500, which has risen just 5%.[10] This renewed strength is notable given that sustained higher rates and macro uncertainty would typically be expected to favor larger, more defensive companies.

After briefly breaching correction territory (down roughly 11%) on March 30, the Russell 2000 has staged an impressive rebound since then, rallying approximately 15%,[11] climbing to a new all-time high last week, and is on pace for its strongest monthly advance (12%[12] month-to-date) since December 2023, where it gained 12%. On a short-term basis, the index closed higher in 12 of 13 sessions in April marking its strongest streak since 2020.13[13] Beneath the surface, breadth has also strengthened meaningfully. 59% of Russell 2000 constituents recently reached new 20-day highs, compared to 47% of S&P 500 members (Exhibit 4). This marks the best reading above 50% since mid-2024. Several catalysts help explain their improving backdrop.

Small-caps are benefiting from easing inflation pressures and renewed expectations for Fed rate cuts following the ceasefire-driven pullback in oil prices, as they are more sensitive to borrowing costs and domestically oriented growth. Valuations also remain attractive, with small-caps trading below historical averages and at a steep discount to large-caps. Together with recent outperformance, this suggests a broader market rotation away from mega-cap technology toward more cyclical segments of the market.

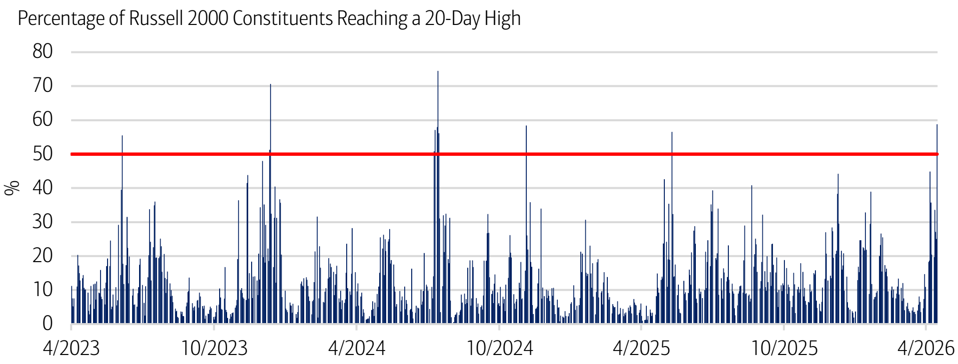
In light of the evolving situation in Iran, a rise in oil prices wouldn't necessarily be a headwind for small-caps. According to BofA Global Research, small-caps have roughly 2X greater exposure to industries that benefit from higher oil prices, such as Energy and Capital Goods, than those hurt by rising oil costs. Moreover, since the start of the war, 2026 consensus EPS estimates for small-caps have been revised higher by 2%, with earnings growth for small- and mid-caps now expected to be 20% versus approximately 17% for large-caps.

Taken together, improving breadth, supportive macro tailwinds, positive earnings trends and still-attractive valuations suggest the recent leadership from small-caps may be more than a short-term bounce and could have further room to grow.

Investment Implications

We remain overweight Small-caps as they are an attractive way to participate in a broadening equity market beyond the mega-cap names that have dominated in recent years. Small-caps can provide diversification benefits and are well positioned if leadership continues to rotate toward more cyclical and domestically- oriented areas of the market. They have the potential opportunity for investors seeking both value and upside participation as we move through the year.

Exhibit 4: Strength Building in Small-Cap.



Sources: Bloomberg; Strategas Research Partners. Data as of April 17, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[10] Bloomberg. Data as of April 24, 2026.
[11] Ibid.
[12] Ibid.
[13] Bloomberg. Data as of April 17, 2026.

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MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,230.71	-0.4	6.3	2.9
NASDAQ	24,836.60	1.5	15.1	7.0
S&P 500	7,165.08	0.6	9.8	5.1
S&P 400 Mid Cap	3,641.32	-0.1	7.9	10.6
Russell 2000	2,787.00	0.4	11.7	12.7
MSCI World	4,632.83	-0.3	8.9	5.0
MSCI EAFE	3,021.80	-2.7	6.8	5.4
MSCI Emerging Markets	1,610.00	0.8	15.4	15.2

Fixed Income†

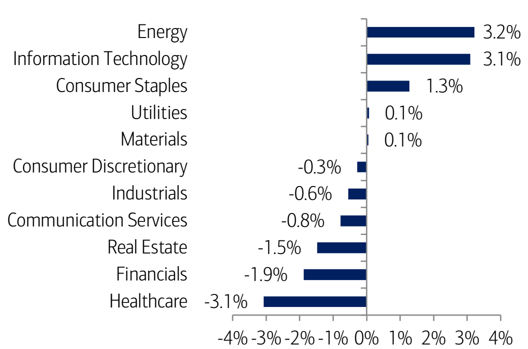
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.43	-0.24	0.62	0.42
Agencies	4.17	-0.11	0.41	0.63
Municipals	3.60	0.03	1.50	1.32
U.S. Investment-Grade Credit	4.51	-0.26	0.62	0.57
International	5.03	-0.27	1.05	0.51
High Yield	6.90	-0.19	1.78	1.28
90 Day Yield	3.67	3.68	3.67	3.63
2 Year Yield	3.78	3.71	3.79	3.47
10 Year Yield	4.30	4.25	4.32	4.17
30 Year Yield	4.91	4.88	4.91	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	346.75	3.6	0.9	25.5
WTI Crude $/Barrel††	94.40	12.6	-6.9	64.4
Gold Spot $/Ounce††	4709.5	-2.5	0.9	9.0

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.17	1.18	1.16	1.17
USD/JPY	159.38	158.64	158.72	156.71
USD/CNH	6.83	6.82	6.89	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 04/20/2026 to 04/24/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 4/24/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 4/24/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.5*	2.5	1.9	1.9	2.3	2.2
CPI inflation (% y/y)	2.7	4.1	3.8	3.6	3.6	2.3
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.6
Unemployment rate (%)	4.3	4.5	4.5	4.4	4.4	4.3
Fed funds rate, end period (%)	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of April 24, 2026.
Sources: BofA Global Research; GWIM ISC as of April 24, 2026.

Asset Class Weightings (as of 4/7/2026)

Asset Class	Underweight		CIO View Neutral	Overweight	
Global Equities	•	•	•	●	•
U.S. Large-cap Growth	•	•	•	●	•
U.S. Large-cap Value	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Global Fixed Income	•	●	•	•	•
U.S. Governments	•	●	•	•	•
U.S. Mortgages	•	●	•	•	•
U.S. Corporates	•	●	•	•	•
International Fixed Income	•	●	•	•	•
High Yield	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments					
Hedge Strategies			•		
Private Equity					
Private Credit					
Real Assets			•		
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral	Overweight	
Financials	•	•	•	●	◄
Consumer Discretionary	•	•	•	●	•
Industrials	•	•	•	●	•
Utilities	•	•	●	◄	•
Energy	►	•	●	•	•
Information Technology	•	•	●	•	•
Healthcare	•	•	●	•	•
Materials	•	•	●	•	•
Real Estate	•	●	•	•	•
Consumer Staples	•	●	•	•	•
Communication Services	•	●	•	•	•

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of April 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500/S&P 500 Price Return Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

U.S. Economic Policy Uncertainty Index is an index constructed based on newspaper articles regarding policy uncertainty from leading newspapers.

Caldara-Iacoviello Geopolitical Risk Index measures adverse geopolitical events and associated risks based on a tally of newspaper articles covering geopolitical tensions, and examine its evolution and economic effects since 1900.

NASDAQ Composite Index is a stock market index that tracks over 3,000 companies listed on the Nasdaq stock exchange. It is heavily weighted toward technology, biotechnology, and growth-oriented companies.

Chicago Board Options Exchange's Volatility Index is a leading measure of market expectations of near-term volatility conveyed by S&P 500 Index®(SPX) option prices.

Russell 2000 Index is a premier stock market benchmark that tracks the performance of approximately 2,000 small-cap U.S. companies.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

April 20, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*A Secular Bull Market In Earnings:* Accelerating technological progress is bullish for the outlook for earnings and living standards. This is not a new phenomenon. It's the reason behind the relentless march higher in living standards. What's new is the speed of progress which keeps increasing. Artificial Intelligence (AI) represents the inflection point known as the "singularity" when machine intelligence rivals and ultimately exceeds biological human intelligence, causing this progression to move at warp speed. Equity ownership is a major way to participate in this progress and we remain overweight.

Market View—*Asian Markets and the Energy Shock—Staying Constructive:* Since the ceasefire announcement earlier this month, investors appear to have discounted the peak in escalation risk for the Middle East conflict and global risk appetite has recovered. Equity markets have also risen in Asia, despite their greater exposure to the energy shock than other regions. We remain constructive on both Japan and Emerging Markets (EM) in Asia. And even with oil and gas prices likely to stay higher for longer in the wake of the conflict, we continue to see a number of counterweights to energy-driven economic pressures in the region.

Thought of the Week—*Some Quick Thoughts on the U.S. Federal Budget Deficit:* A frequently asked question from investors is the following: What is the status of America's finances? Our short answer: more manageable than precarious but worth watching as the U.S. and the world shift toward higher sovereign debt levels and rising government borrowing costs. The encouraging news is that, at 5.2% of gross domestic product (GDP) on a trailing 12-month basis, the deficit/GDP ratio isn't far off the long-term average of 4.6% for this century and has improved over the past year due to the narrowing of the federal budget deficit. The more sobering news is that there isn't much fiscal runway after accounting for defense, net interest payments, Social Security, Medicare and Medicaid, which consumed 75% of outlays over the last 12 months. With larger defense outlays and fading tariff revenue, the deficit for fiscal year (FY) 2026 could widen from here. Still, U.S. public sector debt remains manageable, in our opinion, supported by the most dynamic and resilient economy in the world. We continue to watch but not worry over the federal budget deficit.

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Managing Director and Head of Market Strategy

Portfolio Considerations

The overall growth outlook remains largely unchanged for now, though a prolonged war could pressure discretionary spending through higher energy, commodity, and food prices. Despite recent volatility, U.S. Equities remain preferred given economic resilience and easing valuations. Fixed Income remains constructive but underweighted to support an Equity overweight, with neutral duration and expectations for range-bound yet potentially volatile yields amid sticky inflation, steady GDP growth, and upcoming Fed leadership changes.

Our sector positioning reflects reduced Utilities exposure after valuation-driven outperformance, continued confidence in resilient consumers, positive outlooks for Financials, and selective increases to Energy.

MACRO STRATEGY

A Secular Bull market In Earnings

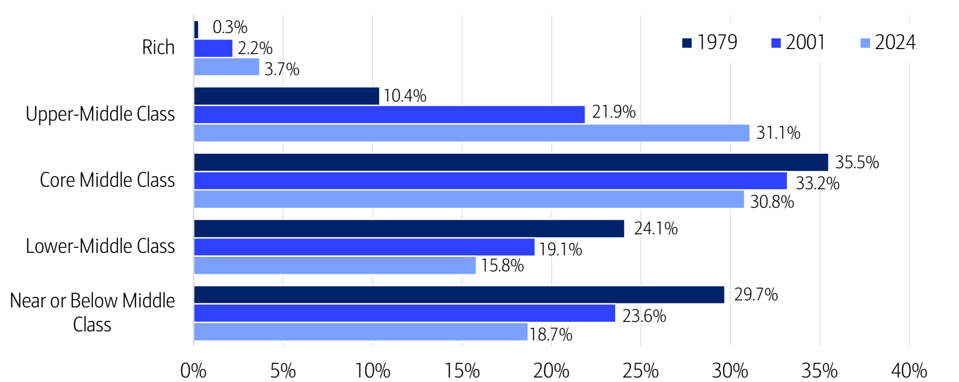
Chief Investment Office, *Macro Strategy Team*

The University of Michigan consumer sentiment measure hit an all-time low in early April. News reports are full of contentious and worrisome signs of what's wrong with the world and what could get even worse. Polls show the majority of Americans feel the country is headed in the wrong direction. There is a widespread belief that things are going downhill and that the next generation faces insurmountable obstacles to achieving the American dream. This downbeat view is often reinforced by the widespread perception of a shrinking middle class.

What's odd about all this conventional wisdom of pessimism is irrefutable evidence to the contrary. While each new generation likes to complain about how hard times are, the fact is living standards keep improving, incomes keep rising and people keep getting richer. They are living longer. Despite the human tendency toward pessimism technological progress is an unrelenting force for longer lives, more leisure time and better health.

This trend toward higher income and a wealthier future has been confirmed by a recent study. It turns out the widespread belief in the shrinking middle class is not the result of more people falling into poverty. Rather more people are moving into the upper income echelons (Exhibit 1). From 1979 until 2024, the share of households that are rich or in the upper middle class rose from just over 10% to about 35%. The share of below or lower middle-class households dropped dramatically from over half to about a third. A major reason behind this surge in upward income mobility is the big increase in female labor force participation and college education. In 1970 just over 10% of women had college degrees. Today, it is more like 40%. Dual-income households dominate the rise into the upper income ranks according to the study.

Exhibit 1: More Rich Households Fewer Near or Below Middle-class Households



Source: American Enterprise Institute. Data as of April 14, 2026.

Earnings Driving Income Growth. As society becomes richer, it's natural for capital income to become a bigger share of the pie, while labor's share drops and people enjoy more leisure time. Travel-and-leisure themed stocks have been one of the top performing areas of the market in recent years. This is a mega theme.

Concurrently with the rise in wealthier households has been a drop in the labor share of income to less than half the pie with capital income comprising more and more. The acceleration in technological progress is making the capital share grow even faster. Companies on the forefront of technology have much higher margins, lower labor cost shares and a bigger and bigger piece of the earnings pie.

Investment Implications

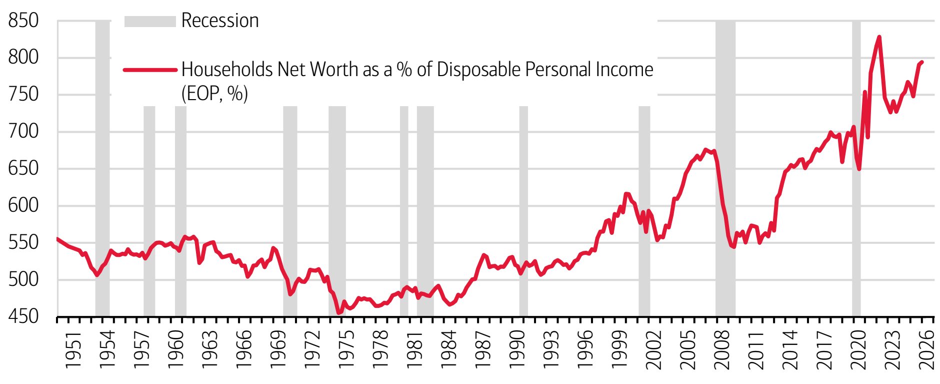
The bull market in earnings shows no signs of ending despite all the headlines around geopolitical risks. The trends that dominated relative performance before the Iran War began have reemerged as war concerns are dissipating. These include relative outperformance by Small-caps, certain international, and resource stocks. In our view, a pro-cyclical focus has also resumed after the brief correction in these trends.

It's amazing given all the angst generated by recent events that the earnings outlook continues to surprise to the upside. First quarter earnings reports to date show no sign of let-up. According to Yardeni Research, analysts' estimates currently see S&P 500 operating earnings per share rising by 19.3% in 2026 and 16.7% next year. The average annual growth rate since 1993 is 8.8%. A natural question is how long earnings can grow essentially twice as fast as this long-term average.

The answer depends on whether this earnings bonanza is powered by a structural shift with long-term staying power or simply a typical cyclical peak in earnings that will likely be reversed by a downturn in the next recession. While there are certainly cyclical forces that could cause some reversion toward the mean over time, historical models don't account for the secular shift into a new AI world with the potential for capital income taking a much bigger share of the income pie. In the extreme, this implies further increases in already record margins and an earnings explosion over the next decade. While the creep higher in capital income to date has already pushed margins into record territory, the transition into an AI world has the potential to accelerate the positive earnings and margin trends.

Another aspect of this new capital-income-dominated world is the rising ratio of wealth to income, which dates to the beginning of the internet. As the stock of wealth rises relative to disposable personal income, it implies that households have a bigger reservoir of future income to draw on when needed. The aging population helps drive this trend as people accumulate savings for their nonworking retirement years. This makes the economy more vulnerable to big fluctuations in asset values like Equity prices, as many bearish analysts are fond of noting. It also, however, makes aggregate demand less vulnerable to cyclical downturns because a deep pool of savings can be drawn on for a rainy day. In essence, it helps smooth out the economy's cyclicality.

Exhibit 2: Higher Wealth to Income Ratio Reflects Transition from Labor to Capital Income.



Source: Federal Reserve Board/Haver Analytics. Data as of March 19, 2026.

The rising level of wealth to income helps prevent recessions. This is one reason why the economy spends so much less time in recession compared to the past. Technological progress has reached an inflection point that is propelling faster earnings growth and promising more leisure time and an abundant future. For investors, owning a well-diversified mix of the companies that are taking us into this promising future is an important component of a prudent investment strategy in our view. We remain overweight Equities.

MARKET VIEW

Asian Markets and the Energy Shock—Staying Constructive

Ehiwario Efeyini, Director and Senior Investment Strategist

Since the ceasefire announcement earlier this month, investors appear to have discounted the peak in escalation risk for the Middle East conflict, and global risk appetite has recovered. Equity markets have posted strong gains even as energy production, shipping volumes and insurance rates have remained stressed, and as oil and gas prices have come off their highs but stayed well above pre-conflict levels.

In Asia, the region most exposed to the energy shock, equity markets have also risen. Asian economies are reliant on imports for the majority of their oil and gas supply, including higher-income countries such as Korea, Taiwan, Hong Kong, Singapore and Japan, which import virtually all their hydrocarbon consumption and rely heavily on transit through the Persian Gulf. In the weeks since the start of the conflict, this has resulted in bouts of energy rationing, increased household subsidies and service curtailment in industries such as air travel and hospitality. We have remained constructive on both Japan and EMs in Asia in large part due to their significant exposure to enablers of the global expansion in data center investment. And indeed, the Technology sector (the largest by market capitalization weight in Asia) has led the regional recovery over recent weeks. But aside from its links to growth in AI, we see a number of additional counterweights to energy-driven economic pressures in the Asia region.

As a major net exporter of both oil and gas, Malaysia has been a direct beneficiary of the rise in prices, with its local equity market outperforming over the past two months. Indonesia has benefitted from its trade surplus in natural gas. And demand for its coal exports has also increased as the conflict boosts thermal coal usage in electricity production elsewhere in the region. Asia's largest market, China, has been insulated in part by its large oil stockpiles which, at an estimated roughly 1.2 billion barrels, cover some three to four months of domestic supply. And it has a much lower dependence on imported oil and gas than most other markets in the region given its domestic production capacity and more diversified energy mix (Exhibit 3).

Investment Implications

We see a range of offsets to the energy shock that keep our constructive view of the Asia region intact. Ongoing expansion of global AI infrastructure investment remains a tailwind for key enablers of the data center buildout. Export exposure to oil, gas and coal benefits select local producers. China is insulated by local stockpiles, diversified supply sources and domestic capacity in clean energy. And local funding stress across the region should remain limited.

Exhibit 3: China Less Dependent on Imported Oil and Gas than Other Markets in Asia.

Energy supply by source (Share of total energy supply)

	Coal	Oil	Natural gas	Nuclear	Renewables	Hydropower	Biofuels and waste	Oil + Gas
China	61%	18%	8%	3%	4%	3%	3%	26%
India	46%	25%	5%	1%	2%	1%	20%	30%
Korea	22%	37%	20%	17%	1%	0%	2%	56%
Taiwan	35%	34%	24%	4%	2%	0%	2%	58%
Hong Kong	34%	27%	38%	0%	0%	0%	2%	65%
Singapore	1%	65%	32%	0%	0%	0%	2%	96%
Japan	26%	37%	21%	7%	3%	2%	5%	57%

Source: International Energy Agency. Data as of 2024 (latest available).

In the wake of the crisis, China is also well positioned for an expected increase in global demand for renewable energy hardware such as solar panels, wind turbines and batteries as countries look to strengthen their domestic energy security. And just as the oil shocks of the 1970s lifted demand for fuel-efficient autos made in Japan, the current conflict is likely to reinforce global electric vehicle (EV) adoption—a further support for China as the world leader in EV manufacturing.

As we had emphasized when the Federal Reserve was rapidly hiking interest rates in 2022 and 2023, emerging Asian markets today are also much less vulnerable to external shocks than they have been in previous cycles. In most cases they have much stronger current account positions (80% of regional market capitalization came into 2026 in outright surplus) and much larger central bank reserves than in the past. And therefore, the local currency and equity market declines have been smaller than in other balance of payments shocks such as the late '90s Asian financial crisis or the 2015 taper tantrum. In effect their trade surpluses from export revenues in other sectors have cushioned the impact from deteriorating terms of trade in energy, preventing the type of funding stress that has historically led to crises and much deeper selloffs.

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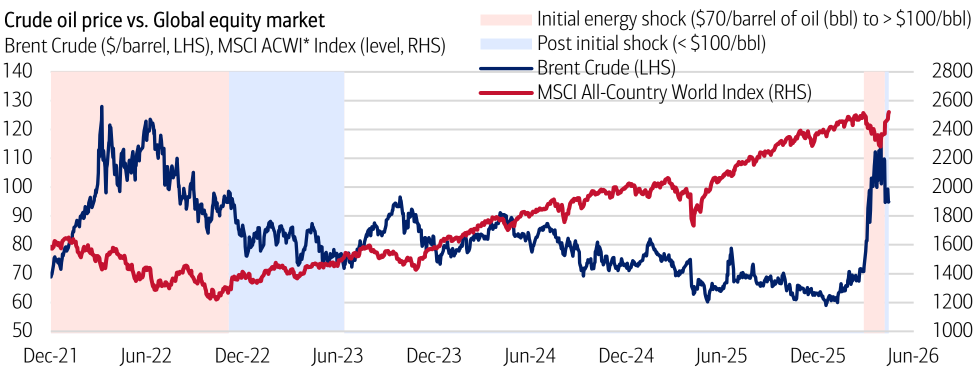
No two episodes are directly comparable, but with oil futures and industry analysts projecting further moderation in prices but still elevated price levels over the remainder of the year, investors might look to the 2022 energy shock for parallels. After the initial spike, Brent crude oil prices in 2022 reached a higher peak of close to $130 per barrel and maintained levels close to or above the $100 threshold until the latter part of the year, producing a larger decline in Asian equity markets (Exhibit 4). But Equities subsequently staged a strong and sustained recovery (with EM Asia and Japan outpacing the S&P 500) as the oil price eventually eased back below $100, despite staying above its pre-conflict levels for the next seven to eight months. Similarly in 2026, Asian equity markets sold off sharply in the initial phase of the conflict but have led the global rally since crude prices fell back below $100 after the April 7 ceasefire announcement. And the parallel to watch in the current environment as investors continue to look past the peak in escalation risk could be ongoing strength in Asian Equities, even if energy prices remain higher for longer over the coming months and normalize only gradually.

Exhibit 4: Equity Market Recoveries After Initial Energy Price Shock—2022 and 2026.



		MSCI EM Asia	MSCI Japan	MSCI Europe	S&P 500
Russia-Ukraine Conflict (2022)	Initial energy shock ($70/bbl to > $100/bbl)	-29.2%	-23.0%	-19.1%	-15.2%
	Post initial shock (< $100/bbl)	18.4%	25.7%	23.2%	16.3%
Iran Conflict (2026)	Initial energy shock ($70/bbl to > $100/bbl)	-9.8%	-8.9%	-8.2%	-3.7%
	Post initial shock (< $100/bbl)**	8.8%	4.5%	6.7%	6.2%

*MSCI All-Country World Index. **Since 4/7/2026 ceasefire announcement. Sources: Bloomberg; Chief Investment Office. Data as of April 15, 2026. Total returns in USD. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. it is not possible to invest directly in an index.

Beyond the risks to output, consumption and terms of trade, higher inflation and interest rates could also pose a challenge for Asian markets in the wake of the energy shock. But here too we see less cause for concern than markets might expect. Compared to the levels of early 2022, inflation rates across the region remain contained, with most countries in the low single digit range or even slightly negative. And crucially most are well below their central bank targets, limiting the need for rate hikes in response to higher energy prices. By contrast, inflation across many developed markets has already exceeded central bank targets, causing investors to price out interest rate cuts or even consider outright rate hikes. The main exception has been the Bank of Japan, which more than others has placed a greater emphasis on the disinflationary effects of the energy shock, signaling plans to delay a rate increase that had been expected later this month.

For both emerging and developed Asian markets, we therefore see a range of offsets to the energy shock that keep our constructive view of the region intact. Ongoing expansion of global AI infrastructure investment remains a tailwind for key enablers of the data center buildout, particularly in Korea and Taiwan. Export exposure to oil, gas and coal benefits producers in Malaysia and Indonesia. China is insulated by buffers from local stockpiles and diversified sources of supply, as well as its domestic capacity in clean energy equipment manufacturing. Across the region, balance of payments strength as well as a lack of pressure to raise interest rates should also limit local funding stress. And assuming no reescalation in the conflict, the 2022 experience suggests that equity markets can deliver additional gains even if energy prices remain elevated.

THOUGHT OF THE WEEK

Some Quick Thoughts on the U.S. Federal Budget Deficit

Joseph P. Quinlan, ***Managing Director and Head of Market Strategy***

A frequently asked question from clients is the following: What is the status of America's finances? Our short answer: more manageable than precarious but worth watching and monitoring as the U.S. and the world shift toward higher sovereign debt levels and rising government borrowing costs.

Exhibit 5A provides a snapshot of the U.S. federal budget deficit as a percentage of GDP. The encouraging news: At 5.2% of GDP on a trailing 12-month basis, the deficit/GDP ratio isn't that far off from the long-term average of 4.6% for this century. The ratio has actually improved over the past year owing to the narrowing of the federal budget deficit. To wit, in the first six months of FY 2026 (October 2025-March 2026), the budget deficit totaled $1.2 trillion. That amount is $139 billion less than the deficit recorded during the same period a year ago and represents a 10.6% reduction. Revenues rose by $222 billion (or 10%), while outlays increased $84 billion (or 2%).

Now for the more sobering news: There isn't much fiscal runway after accounting for spending on defense, net interest payments on debt, Social Security, Medicare and Medicaid (Exhibit 5B). Outlays for the five largest mandatory spending programs consumed 75% of outlays over the past 12 months, with spending on Social Security benefits accounting for roughly 23% of outlays, followed by Medicare (14.5%), Interest payments (14.1%), defense (13.1%) and Medicaid (9.9%). In addition, the narrowing of the fiscal deficit could be a thing of the past as the provisions of the One Big Beautiful Bill Act (lower corporate taxes and fatter household refunds) kick in. And with the administration asking for larger defense outlays, and with tariff revenue fading, we wouldn't be surprised to see the deficit for FY 2026 reverse course and begin to widen.

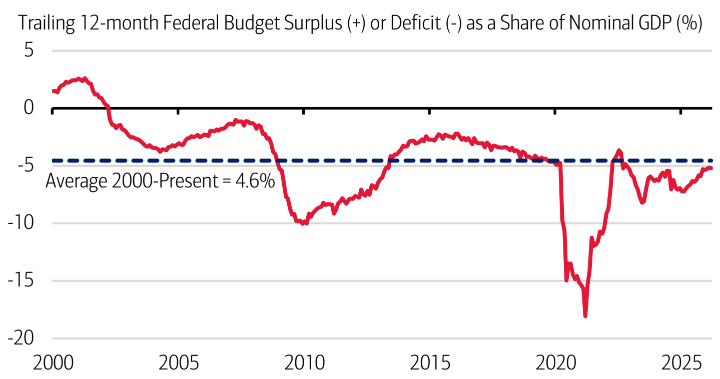
That is hardly worrisome, however. U.S. public sector debt as a percentage of GDP remains at around 100% of GDP—a level quite manageable, in our opinion, given that Uncle Sam's finances are backstopped by the most dynamic and resilient economy in the world. That equates to more growth and a sustainable fiscal path forward. We continue to watch but not worry over the federal budget deficit.

Investment Implications

Gross public sector debt will remain manageable in the medium term. Foreign and domestic appetite for U.S. government debt bears watching but is unlikely to wane in our view.

Exhibit 5: A Snapshot of America's Fiscal Health.

A) Deficit as a Share of GDP Not Far Off Historical Average.



B) Mandatory Outlays + Interest Payments + Defense = 75% of U.S. Government Outlays.

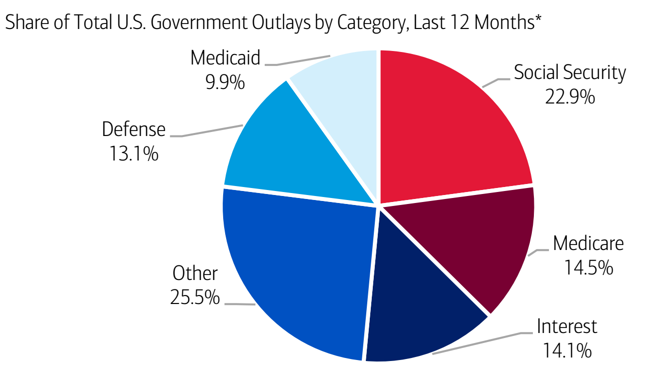


Exhibit 5A) Sources: U.S. Treasury; Congressional Budget Office; Bureau of Economic Analysis; Bloomberg. Data as of April 10, 2026. Exhibit 5B) *Refers to data from April 2025-March 2026. Source: U.S. Treasury. Data as of April 10, 2026.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,447.43	3.2	6.8	3.4
NASDAQ	24,468.48	6.8	13.3	5.5
S&P 500	7,126.06	4.5	9.2	4.5
S&P 400 Mid Cap	3,646.35	3.5	8.0	10.7
Russell 2000	2,776.90	5.6	11.3	12.3
MSCI World	4,650.40	4.0	9.3	5.4
MSCI EAFE	3,111.50	2.2	9.8	8.4
MSCI Emerging Markets	1,597.13	3.2	14.4	14.2

Fixed Income†

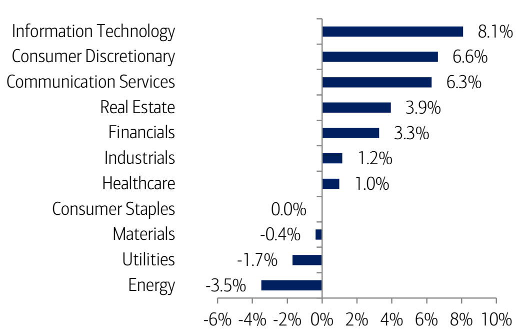
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.37	0.55	0.87	0.67
Agencies	4.12	0.38	0.52	0.74
Municipals	3.59	0.31	1.46	1.28
U.S. Investment-Grade Credit	4.45	0.55	0.88	0.84
International	4.97	0.67	1.32	0.78
High Yield	6.75	0.66	1.97	1.47
90 Day Yield	3.68	3.67	3.67	3.63
2 Year Yield	3.71	3.80	3.79	3.47
10 Year Yield	4.25	4.32	4.32	4.17
30 Year Yield	4.88	4.91	4.91	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	334.71	-0.4	-2.6	21.2
WTI Crude $/Barrel††	83.85	-13.2	-17.3	46.0
Gold Spot $/Ounce††	4830.34	1.7	3.5	11.8

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.18	1.17	1.16	1.17
USD/JPY	158.64	159.27	158.72	156.71
USD/CNH	6.82	6.83	6.89	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 04/13/2026 to 04/17/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 4/17/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 4/17/2026)

	Q1 2026E	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.5*	2.5	1.9	1.9	2.3	2.2
CPI inflation (% y/y)	2.7	4.0	3.7	3.5	3.5	2.4
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.6
Unemployment rate (%)	4.3	4.5	4.5	4.4	4.4	4.3
Fed funds rate, end period (%)	3.63	3.63	3.38	3.13	3.13	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of April 17, 2026.
Sources: BofA Global Research; GWIM ISC as of April 17, 2026.

Asset Class Weightings (as of 4/7/2026)

Asset Class	Underweight		CIO View Neutral	Overweight	
Global Equities	•	•	•	●	•
U.S. Large-cap Growth	•	•	•	●	•
U.S. Large-cap Value	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Global Fixed Income	•	●	•	•	•
U.S. Governments	•	●	•	•	•
U.S. Mortgages	•	●	•	•	•
U.S. Corporates	•	●	•	•	•
International Fixed Income	•	●	•	•	•
High Yield	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments					
Hedge Strategies			●		
Private Equity					
Private Credit					
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral	Overweight	
Financials	•	•	•	●	◄
Consumer Discretionary	•	•	•	●	•
Industrials	•	•	•	●	•
Utilities	•	•	●	◄	•
Energy	►	•	●	•	•
Information Technology	•	•	●	•	•
Healthcare	•	•	●	•	•
Materials	•	•	●	•	•
Real Estate	•	●	•	•	•
Consumer Staples	•	●	•	•	•
Communication Services	•	●	•	•	•

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of April 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

MSCI All-Country World Index is a premier benchmark representing global equity performance, covering large and mid-cap stocks across 23 developed and 24 emerging markets.

MSCI Emerging Markets Asia Index captures large and mid-cap representation across Emerging Markets (EM) countries in Asia.

MSCI Japan Index is designed to measure the performance of the large and mid cap segments of the Japanese market.

MSCI Europe Index captures large and mid cap representation across Developed Markets (DM) countries in Europe.

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